



DIGITAL REGULATION IN ASIA: ASSESSING SOUTH KOREA'S OUTLIER APPROACH

BRIEF BY LAURA SALLSTROM, THINKTECH POLICY CONSULTING

Digital regulatory trends in the Asia-Pacific are being driven by geopolitical factors, including shifts in U.S. foreign and economic security policy, the rapid advancement of Chinese technology, and efforts from other regional countries to develop their own technology capabilities and digital sectors. More broadly, discussions about the disruptive impacts of artificial intelligence (AI), ongoing cybersecurity threats, and the long history of ineffective regulatory control of platform harms have added a layer of political complexity for the sector. In response, governments across the Asia-Pacific are drafting new platform regulations, creating AI accountability mechanisms, investing in national champions, and adopting digital sovereignty legislation. Technology is increasingly understood not simply as a commercial sector but as an issue of national security and sovereignty.

Japan and South Korea provide useful comparative case studies. Both are long-standing U.S. allies that remain closely integrated with the United States through security alliances and technology supply chains, yet they have adopted different approaches to digital regulation. While South Korea seeks to promote innovation, its overarching regulatory approach is increasingly interventionist. The country arguably is becoming one of the most activist technology regulators in the region. With overlapping regulatory jurisdictions, unpredictable interventions, and limited consultation with foreign providers, the South Korean market is burdensome for technology companies. By contrast, Japan generally approaches regulation through a more incremental and predictable model. Innovation is its key objective and is promoted through voluntary international standards, regulator coordination, international

Laura Sallstrom is a global technology policy expert and currently serves as the managing director and founder of ThinkTech Policy Consulting, a boutique firm focused on public policy impacting the technology sector. She is also an adjunct professor teaching trade and technology policy in the Sanford School of Public Policy at Duke University. She previously worked at the Office of the U.S. Trade Representative, the Business Software Alliance, and Access Partnership.

interoperability, and a more open consultation process. While Japan has expanded oversight of digital platforms and AI in recent years, for the moment its regulatory framework remains more predictable and less interventionist than South Korea's. These contrasting approaches provide a useful benchmark for understanding South Korea's distinctive regulatory trajectory.

Drivers of South Korea's Digital Regulatory Approach

South Korea's approach to digital policy is shaped by a combination of political, economic, and strategic factors that distinguish it from regional peers and Western markets. Unlike many countries in the Asia-Pacific, South Korea has a highly developed technology ecosystem anchored by globally competitive firms in semiconductors, telecommunications, consumer electronics, digital platforms, cybersecurity, and online services. Its strength in semiconductors provides a strategic advantage and leverage for negotiating investment, trade access, and ICT collaboration. These structural characteristics help explain why South Korea increasingly treats digital technologies not simply as commercial markets but as strategic assets linked to economic security, national competitiveness, and technological sovereignty.

At the same time, policymakers remain deeply sensitive to concentrated economic power because of South Korea's historical experience with the *chaebol* system. This creates a regulatory environment with contradictory objectives. The government values close public-private cooperation to advance national technology objectives, but it also maintains strong political support for oversight of large companies and protections for smaller market participants. The tension contributes to South Korea's more interventionist use of competition and consumer protection law. While the government wants national champions, it remains wary of the influence of large firms.

South Korea's regulatory culture is also characterized by a strong emphasis on privacy and data protection. Public sensitivity regarding the collection and use of personal information has contributed to one of the region's more robust data protection frameworks, comparable to the European Union in its scope and enforcement, as evidenced by the recent significant fine imposed on Coupang. Privacy is widely treated as a consumer protection issue, a matter of public trust, and a component of sovereignty. As a result, regulatory debates surrounding AI, cloud services, and digital platforms frequently intersect with broader concerns about data governance and result in additional regulation. South Korea continues to support innovation and AI development, but policymakers generally view privacy as a prerequisite for public trust in emerging technologies.¹

Technology ambitions are political, public, and increasingly global. South Korea stands out in the region because its technology ambitions are explicit, politically salient, and tied to national economic strategy. President Lee Jae Myung has made AI, advanced manufacturing, semiconductors, and technology competitiveness central economic priorities, building on objectives stated in the 2024 National AI Strategy for South Korea to be "one of the top three AI powerhouses." President Lee has intensified and personalized this agenda, treating AI and sovereign technology capabilities as central to his administration's economic program.²

South Korea's geopolitical position reinforces this approach. The country remains heavily dependent on the United States for security cooperation and relies extensively on U.S. technology and investment. At the same time, strategic competition with China and concerns about economic and technological dependence could limit adoption of Chinese technology solutions at scale. As a result, South Korea actively seeks to reduce external dependencies. Korean policymakers increasingly frame the country's technology strategy as a pursuit of distinctly Korean leadership and as a means

of exercising middle-power influence globally rather than as a way to remain aligned with the United States or any other foreign model. South Korea's "responsible global power" framework,³ its cohosting of the 2024 AI Seoul Summit, and its participation in international AI governance discussions all demonstrate an ambition to shape technology governance beyond the country's borders, not merely to regulate within them.⁴

The regulatory approach is shifting. All of this has contributed to a shift in regulatory approach. Today, digital infrastructure is increasingly viewed through the lens of broader industrial policy objectives, including economic security, national resilience, and digital sovereignty. As a result, regulations affecting AI, cloud computing, platforms, and digital infrastructure are evaluated not only on traditional regulatory and economic grounds but also for their contribution to South Korea's strategic competitiveness and global ambitions.

This shift does not replace traditional market regulation; instead, such regulation now operates alongside a broader government objective of strengthening oversight of critical digital infrastructure. From the perspective of many foreign technology firms, these measures create friction with globally integrated business models. From the Korean government's perspective, they are safeguards that support domestic technology development, public trust, and resilience.

Operational Resilience Regulation: Digital Technologies as Quasi-Critical Infrastructure

Although triggered by failures at major digital platforms, South Korea's digital disaster framework increasingly applies to the broader infrastructure stacks supporting cloud services, telecommunications, and data centers. Following several high-profile service disruptions, most notably the 2022 Kakao outage, Korean policymakers expanded their focus from cybersecurity toward operational resilience and continuity of service. This shift is reflected in

the government's Digital Disaster Prevention and Response Plan and related legislative initiatives. Together, these measures seek to strengthen oversight of major digital platforms, cloud providers, telecommunications operators, and data centers by imposing requirements related to business continuity planning, redundancy and backup systems, incident reporting, disaster response procedures, and service restoration capabilities.⁵

The policy shift reflects a growing acknowledgment among policymakers in South Korea that large digital platforms and infrastructure providers perform quasi-public functions and therefore should carry obligations beyond those traditionally imposed on private firms. Industry stakeholders generally support efforts to improve resilience, but they have expressed concern that broad preparedness, reporting, and infrastructure requirements could impose significant compliance costs, expand government oversight of privately operated digital services, and ultimately prevent governments from using the most effective digital services available. The debate illustrates South Korea's increasing willingness to treat digital infrastructure as a matter of operational resilience and public safety, recognizing digital services as essential infrastructure rather than simply commercial platforms.

In regional comparisons, South Korea's approach is more regulated than others. For example, Japan has also strengthened operational resilience requirements for critical digital infrastructure, but its approach has generally emphasized cybersecurity preparedness, public-private coordination, and voluntary guidance rather than sector-specific regulation of digital platforms and cloud providers. While both countries increasingly view digital infrastructure as essential to national resilience, Japan has relied more heavily on existing critical infrastructure and cybersecurity frameworks, whereas South Korea has developed more targeted regulatory obligations for digital service providers.⁶ For foreign providers, the concern is that operational

resilience requirements may be used to justify Korea-specific infrastructure, data management, or localization obligations that exceed what is necessary to ensure continuity of service.

AI: Building Capability While Expanding Governance

At the center of South Korea's broader technology strategy is AI, which the country increasingly views as both an economic opportunity and a strategic national capability. The government's AI ambitions are buttressed by a strategy that supports semiconductors, computing infrastructure, data centers, cloud services, and domestic AI model development. Accordingly, South Korea's AI policy overlaps with its cloud, data center, semiconductor, and platform policies: each forms part of the digital infrastructure stack needed to support South Korea's AI G3 ambitions.

At the same time, Korean policymakers have established a comprehensive AI governance framework. South Korea's AI Basic Act and implementing regulations seek to balance rapid deployment of AI technologies with requirements for accountability, transparency, safety, and public trust. The framework includes obligations related to AI ethics, verification and certification, transparency, safety, and high-impact AI. Key unresolved issues include the treatment of high-impact AI systems, disclosure of AI-generated content, copyright questions related to training data, and the interaction between AI governance obligations and privacy regulation under the Personal Information Protection Act. Industry groups are concerned that compliance burdens could slow innovation.⁷

This AI strategy differs from that of both Europe and the United States. Unlike Europe, South Korea is actively balancing the building of globally competitive AI companies while establishing a comprehensive governing framework. It is also pursuing a more active government role in shaping market outcomes and directing investment. The resulting framework reflects the country's broader

ambition to create domestic AI capabilities while maintaining public confidence in the technology. This could also position South Korea as a potential case study of balancing innovation-focused and risk-focused approaches to AI governance, particularly if it can demonstrate that the development of domestic capability can coexist with rules for credible accountability. Whether the country can successfully maintain that balance as its digital regulatory framework evolves remains an open question.

In the region, South Korea's approach to AI development and governance is different from that of Japan. Japan also has exercised global influence, positioning itself internationally as a champion of the Hiroshima AI Process, international governance, voluntary commitments, and risk-based approaches. In doing so, it has generally avoided a comprehensive approach to the regulation of AI that would discourage investment. By contrast, South Korea's AI Basic Act integrates governance with industrial policy, infrastructure development, and national competitiveness. Japan's approach is more focused on interoperability, risk management, and guidance. In other words, South Korea puts the government more distinctly in the role of industrial planning, driving development of the AI ecosystem.

Online Platforms: Regulating Market Power and Behavior

Platform regulation has become one of the most visible manifestations of South Korea's evolving approach to digital governance. Historically, Korean policymakers were focused primarily on consumer protection and competition concerns involving domestic technology champions such as Naver and Kakao. More recently, their regulatory attention has expanded to encompass the role of global technology firms, platform dependency, data concentration, and ecosystem-level market influence. South Korea's platform policies should also be viewed through the lens of digital sovereignty: unlike many markets that

depend heavily on foreign technology firms, South Korea has strong domestic platforms that compete directly with global providers, including Naver and Kakao. Of all the foreign industry complaints in South Korea, foreign providers feel most directly targeted through the country's application of competition policy.

Competition policy. Competition regulation of digital platforms is becoming an increasingly important feature of South Korea's digital policy landscape and a source of repeated friction in the country's trade relationship with the United States. The Korea Fair Trade Commission (KFTC) has devoted growing attention to concerns regarding self-preferencing, intermediary fairness, discriminatory treatment of business users, and the ability of dominant platforms to leverage market power across adjacent markets. Proposed legislation, including the reintroduced Fairness of Online Platform Intermediary Transactions Act, seeks to address perceived imbalances between large digital intermediaries and businesses that depend on them for access to consumers. Supporters view these measures as necessary to preserve competition and protect smaller market participants. Critics argue that South Korea risks moving toward a more interventionist and sector-specific competition framework than many peer jurisdictions.

U.S. government and private-sector stakeholders have identified online platform regulation and KFTC enforcement as a significant concern, with a joint fact sheet released in November 2025 pledging to "increase mutually beneficial trade and investment" and "address longstanding barriers that American exporters have faced in the Korean market."⁸ The American Chamber of Commerce in Korea argues that proposed legislation could have a "disproportionate impact on U.S. firms" and contribute to additional friction in the economic relationship. Previous research published by the National Bureau of Asian Research (NBR) highlighted significant procedural challenges associated with the KFTC's enforcement actions.⁹ However, Korean policymakers see platform regulation as a response

to real concerns about dependency, fairness, and concentrated economic power. The debate illustrates how South Korea's domestic competition agenda can intersect with trade when U.S. technology companies are significantly affected.¹⁰

By contrast, Japan has emphasized transparency, procedural safeguards, and co-regulation in its competition efforts with platforms. The Act on Improving Transparency and Fairness of Digital Platforms is intended to promote the "voluntary and proactive efforts" of digital platform operators through a system of co-regulation rather than direct operational mandates.¹¹ For multinational technology companies, Japan's framework has become increasingly prescriptive but remains relatively predictable and consultation-based. By contrast, South Korea presents a broader and less certain landscape for competition policy as enforcement, legislative initiatives, and sector-specific regulation continue to develop.

Interconnection fees. While other countries have considered different approaches to interconnection fees, South Korea is unique among advanced digital economies in its application of regulated network cost-allocation concepts to internet traffic generated by large content providers. It should be noted that the country's strong broadband infrastructure is a point of national pride, and the debate over network cost allocation has increasingly been framed as a question of fairness. Specifically, the issue revolves around whether large traffic-generating platforms should contribute more directly to the costs of maintaining and expanding national broadband networks. The strength of South Korea's broadband infrastructure, together with the political influence of domestic network operators, has shaped the evolution of this policy. Critics argue that the resulting framework places foreign digital service providers at a competitive disadvantage, while supporters view it as an issue of fairness for use of the network. By comparison, Japan, which has an equally impressive broadband network and faces similar market challenges, has occasionally examined network cost-allocation issues. But

instead of mandatory traffic payment obligations, it has generally relied on commercial negotiations, peering agreements, and the transit market.

This provides another example of South Korea's increasing willingness to use infrastructure cost allocation as a tool to shape the digital ecosystem. Long-running debates surrounding network usage fees, interconnection requirements, and traffic cost-sharing arrangements illustrate South Korea's willingness to intervene in the economics of digital infrastructure. Because many of the largest content, cloud, and digital platform providers serving Korean users are U.S.-based firms, these policies have had a particularly significant impact on U.S. technology companies. Industry groups argue that the framework imposes disproportionate costs on large foreign content providers and may discourage investment and competition in digital infrastructure. However, Korean policymakers and domestic network operators generally maintain that this is an appropriate mechanism for allocating infrastructure costs and supporting continued network investment.¹²

Cloud Computing: Security, Resilience, and Sovereign Control

Cloud computing occupies a particularly important position within South Korea's technology strategy because policymakers increasingly view it as both a strategic enabler of AI and a potential point of foreign dependency. Cloud infrastructure underpins AI training, government digital services, enterprise modernization, and data center growth. Yet cloud services remain an area where domestic champions face intense competition from large foreign providers. The South Korean government has identified cloud and supporting platform technologies as vulnerabilities for its sovereignty objectives, creating a strong policy focus on expanding domestic capabilities and preserving government control over sensitive public-sector workloads. Cloud computing is probably the area where South Korea's digital sovereignty objectives

most directly intersect with industrial policy, creating the strongest perception among foreign firms that regulation in this space also functions as a competitive advantage for domestic providers.

One of the most significant examples is the Cloud Security Assurance Program (CSAP), which establishes requirements for cloud providers seeking to serve public-sector customers. Because government procurement is central to cloud market development, CSAP has become a major point of tension between South Korea's sovereignty objectives and foreign providers' global operating models. Foreign industry groups have argued that Korea-specific requirements regarding network separation, data management, security certification, and operations diverge from global standards and create barriers for international cloud providers, effectively preventing the South Korean government from adopting leading cloud-based services. South Korea, by contrast, treats these requirements as part of a broader effort to strengthen national security, protect public-sector systems, reduce dependency, and ensure resilience of critical digital infrastructure.¹³ Foreign industry groups assert that it has become increasingly difficult to argue the policy is not discriminatory as U.S. providers have been certified to the standard and still not won contracts.¹⁴

As already noted, cloud regulation is also linked to the digital disaster and resilience agenda discussed above. Following high-profile service disruptions, Korean policymakers placed greater emphasis on disaster recovery, continuity of operations, and infrastructure resilience. These concerns are reflected not only in platform policy but also in cloud-related rules because cloud services increasingly support public-sector operations, AI workloads, and essential digital services. As is the case now and going forward, South Korean cloud policy will likely be determined by the tension between attracting global investment in advanced cloud capabilities and strengthening domestic capacity and sovereign control over critical digital infrastructure. This

balance and its impact on international providers will become more important as South Korea's AI ambitions increase demand for large-scale cloud and computing resources.

Conclusion

Taken together, South Korea and Japan exemplify two different approaches to digital growth and regulation. Even though Japan is expanding its oversight of platforms and AI, its incremental, consultative approach remains grounded in voluntary standards, regulatory coordination, and interoperability with international norms. South Korea's more interventionist model, by contrast, reflects a deliberate strategy of using

regulation to advance domestic industrial policy, protect economic sovereignty, and assert leverage over powerful market participants. The cost in South Korea is a more unpredictable, fragmented, and at times discriminatory environment for international technology companies. For the technology sector, this divergence matters: it shapes where firms can compete on equal footing and complicates efforts to build coordinated regional approaches to AI and platform governance. For the Asia-Pacific, it raises broad questions of regulatory modeling, technology ambition, and how this all translate across the region with both regional competitors and collaborators. ∞

Endnotes

- ¹ Author's video interview with B.J. Kim (managing director) and Steve Han (deputy managing director), BowerGroupAsia, Korea Office, June 7, 2025.
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